

In its *Annual Report*, rendered in November 1931 before the Twentieth Annual Convention of the Investment Bankers Association of America, the Committee revised the foregoing estimates as follows: "The exact amount of outstanding real-estate bonds is difficult to ascertain due to the large number of small issues of which no record has been kept. The Federal Reserve Board at Washington estimates that there may be a present maximum volume outstanding of \$6,000,000,000. This figure is considerably lower than the one estimated in our May report. We believe, however, \$6,000,000,000 is approximately correct. It is the liquidation of this volume of real-estate bonds which presents one of the major problems confronting real estate.

"Due to the decline in urban real-estate values, it is estimated that approximately 60% of the outstanding real estate-bond issues are more or less in distress" (*Proceedings of the Twelfth Annual Convention of the Investment Bankers Association of America, 1931, p. 130*).

The character of the distress above referred to was indicated by the chairman of the committee in his introductory remarks when submitting the report. He said: "Now, it is estimated that about 60% of the real estate bonds which have been issued are more or less in distress. Some only show slight trouble, either in temporary default or nonpayment of taxes; others are under the process of reorganization or are in foreclosure" (*ibid.*, p. 128).

The growth and later decline in the volume of real estate bonds actually in default with respect to interest and/or principal payments is shown by the following compilation¹ by Dow, Jones & Co., Inc., as of Nov. 1 in the respective years. Only issues sold to and held by the public are included.

1928	\$36,229,000
1929	59,755,000
1930	137,463,000
1931	327,968,000
1932	739,326,000
1933	995,017,000
1934	647,945,000
1936	408,738,000
1938	223,534,000

¹ *The Wall Street Journal*, Dec. 27, 1933, and Feb. 15, 1939.